STAYING *ON* TRACK

SRI LANKA | APRIL 2025

WORLD BANK GROUP

SRI LANKA DEVELOPMENT UPDATE

Preface

The Sri Lanka Development Update (SLDU) has two main aims. First, it reports on key developments over the past 12 months in Sri Lanka's economy, places these in longer term and global contexts, and updates the outlook for Sri Lanka's economy. Second, the SLDU provides a more in-depth examination of selected economic and policy issues. It is intended for a wide audience, including policymakers, business leaders, financial market participants, think tanks, non-governmental organizations and the community of analysts and professionals interested in Sri Lanka's evolving economy.

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Key messages

1 **The economy continues to recover**, with growth, fiscal balances, and external buffers exceeding expectations in 2024. But household incomes, employment, and non-monetary welfare remain well below pre-crisis levels.

2 Despite the recovery, **medium-term growth is expected to remain modest**, reflecting scarring effects of the crisis, structural impediments to growth, and significant global economic uncertainties.

3 **Medium-term growth and poverty reduction prospects hinge on continued macroeconomic stability** (*exchange rate flexibility, continuation of fiscal-financial reforms*) **and successful implementation of structural reforms** (*on trade, investment, SOEs, competition, female labor force participation, etc.*).

Context

The Sri Lankan economy is emerging from its worst post-independence economic crisis, which resulted in a sharp economic contraction, unprecedentedly high inflation and currency depreciation, and a rapid fall in international reserves.

Context

Amid the crisis in 2022-23, and in the context of an IMF program, the government implemented a series of reforms to restore macroeconomic stability, including cost-reflective utility pricing, new revenue measures, and a return to prudent monetary policy.

Additionally, legislation was enacted to support debt and fiscal management, central bank independence, electricity sector reforms, the investment climate, and anti-corruption measures.

Context

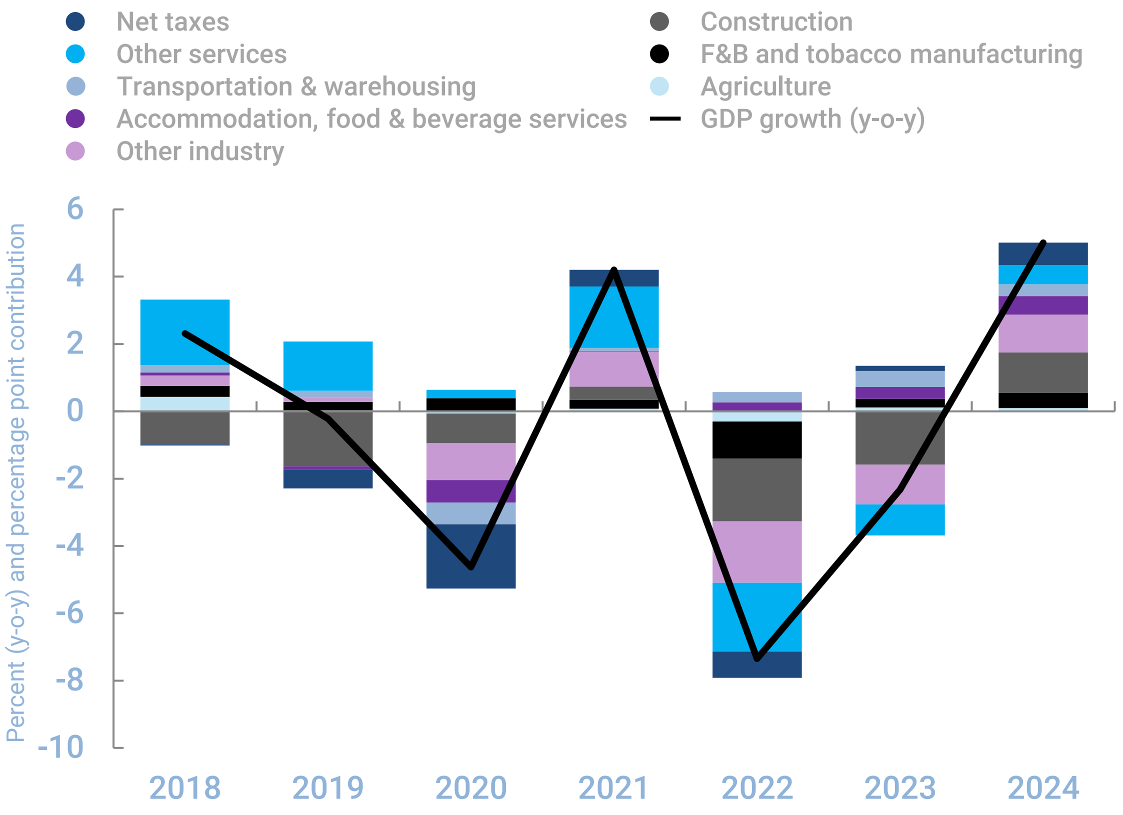
Following these reforms, the economy began to stabilize from mid-2023, as:

- **Quarterly GDP growth turned positive** after six quarters of contraction
- **Headline inflation eased** *(4 percent in Dec 2023 from 69.8 percent in Sep 2022)*
- **Usable reserves grew** *(US$4.7 billion in Dec 2024 from US$500 million in Dec 2022)*
- **Public debt-to-GDP fell** *(111.7 percent at end-2023 from 119.2 percent at end-2022)*
- **Domestic debt restructuring** was completed, and **external debt restructuring** progressed

Recent Developments

Growth in 2024 has surpassed expectations…

Figure 1: The economy grew by 5 percent in 2024



Source: Department of Census and Statistics, World Bank calculations
Note: The main contributors to "Other industry" are textiles, chemical and metal products, and mining. The largest contributors to "Other services" are wholesale and retail trade, IT, real estate, and financial services.

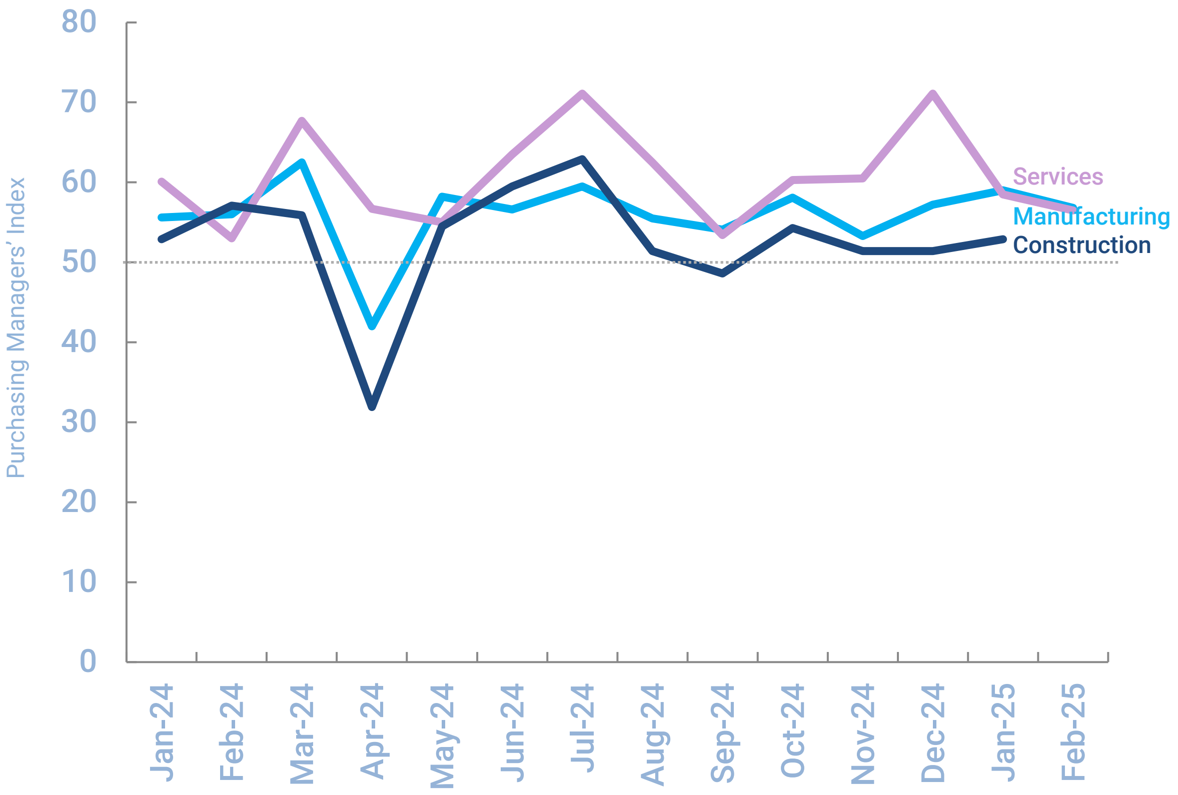
The economy expanded by 5 percent (y-o-y) in 2024, which is higher than the 4.4 percent projected in the October SLDU.

Growth was driven by industry and services.

- Industry rebounded (11 percent, y-o-y), led by a faster-than-expected resumption in construction.
- A strong performance in tourism-related services (accommodation, F&B, transport services) boosted service sector growth (2.4 percent, y-o-y).
- Agricultural growth remained stagnant at 1.2 percent (y-o-y).

… with a pick-up in high-frequency indicators such as PMI

Figure 2: Activity in industry and services expanded



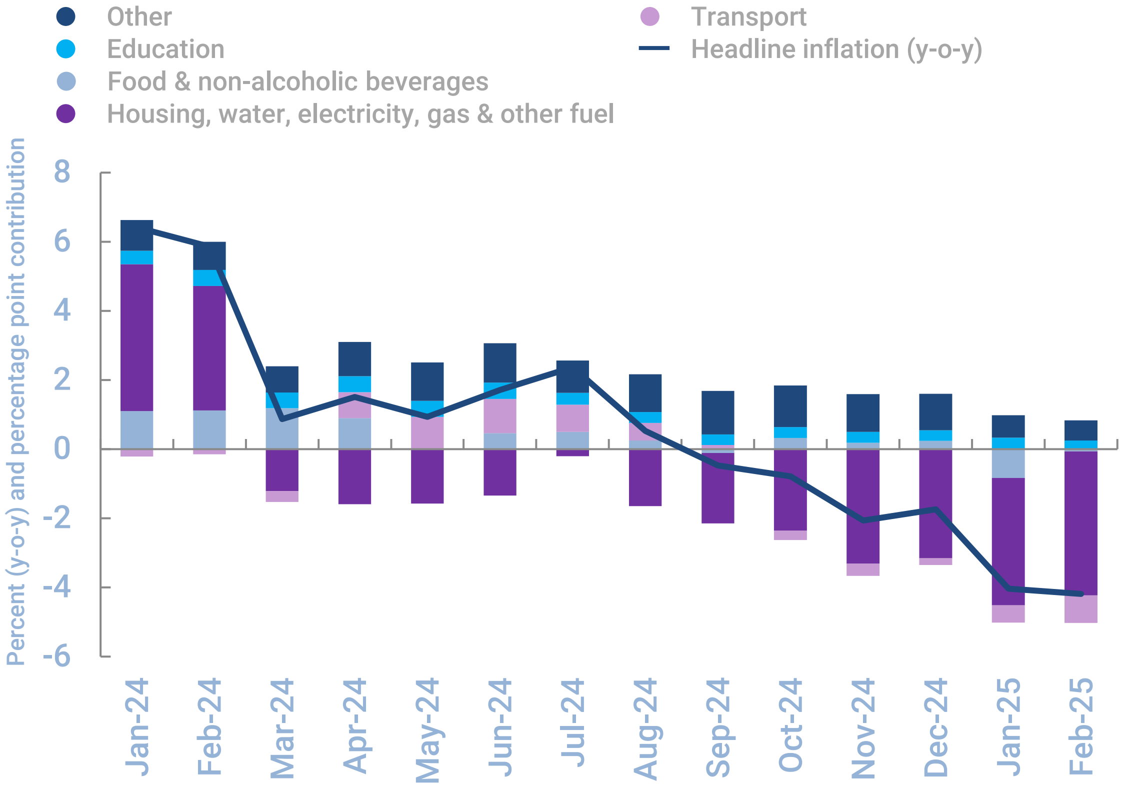
Source: Central Bank of Sri Lanka

The economic recovery is also reflected in certain high-frequency indicators:

- PMI for manufacturing, services, and construction broadly remained in expansionary territory throughout 2024.
- Cement consumption picked up by 22.2 percent (y-o-y) in 2024, with the resumption of construction projects.
- Index of Industrial Production expanded, driven by the textile, beverage, and pharmaceutical sectors.

Inflation dropped significantly in 2024…

Figure 3: Deflation recorded since September 2024



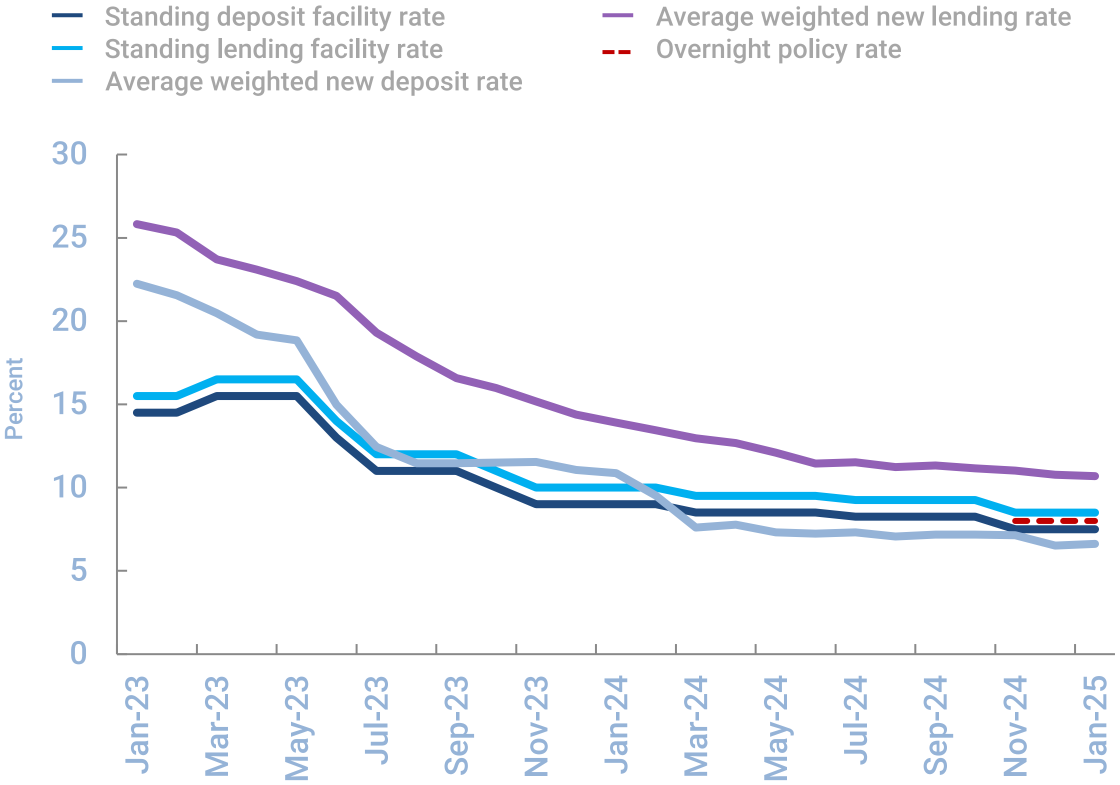
Source: Department of Census and Statistics, World Bank calculations

After staying in the low single-digits for most of 2024, inflation turned negative (deflation) in September 2024.

Headline inflation, measured by the Colombo Consumer Price Index, reached -4.2 percent (y-o-y) in February 2025, driven by downward adjustments in energy prices, currency appreciation, and subdued household demand. The National Consumer Price Index showed a similar trend.

… allowing the central bank to cut policy rates

Figure 4: Lending and deposit rates have trended downwards



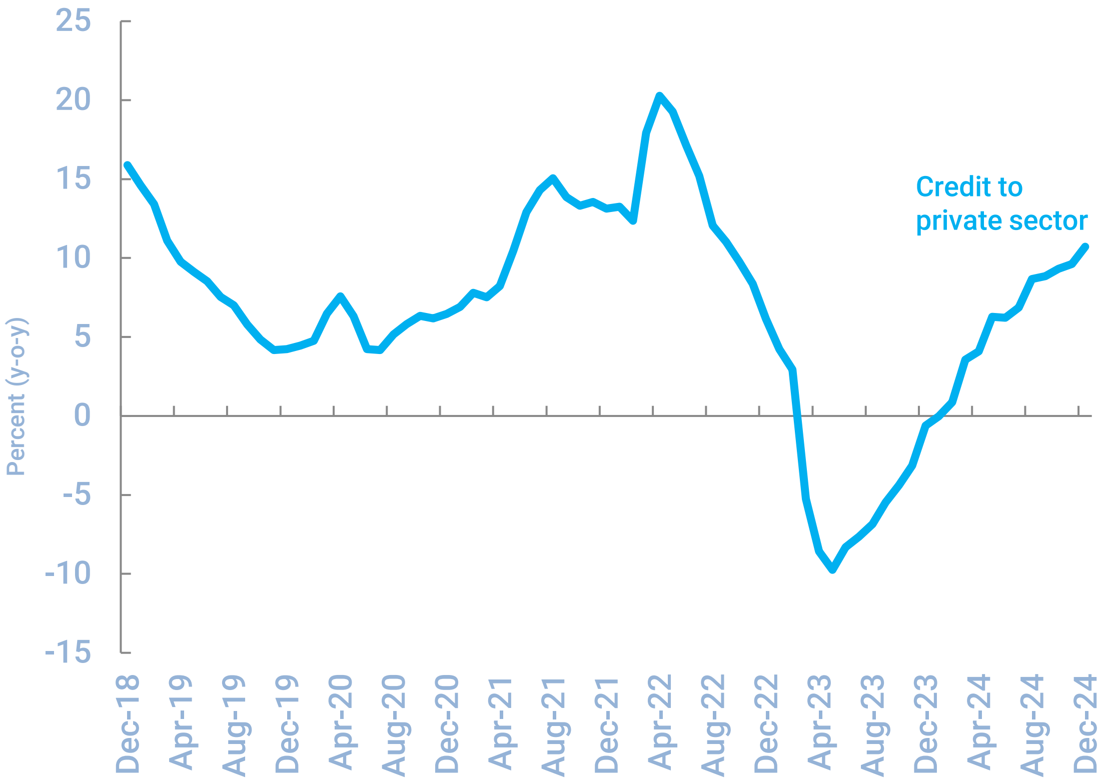
Source: Central Bank of Sri Lanka

With inflation well below target, monetary policy was further eased. The CBSL cut policy rates by 150 basis points in 2024 (beyond the 650 basis points cut in 2023) and has maintained rates so far in 2025. Combined with higher levels of overnight liquidity, this has supported a steady decline in commercial lending (and deposit) rates. Furthermore, improved investor sentiment contributed to a decline in 91-day T-bill rates.

With deflation and falling nominal interest rates, real interest rates are now higher than nominal rates.

The financial sector continued to stabilize as rates fell and economic conditions improved…

Figure 5: Lending by commercial banks to the private sector has picked up



Source: Central Bank of Sri Lanka, World Bank calculations

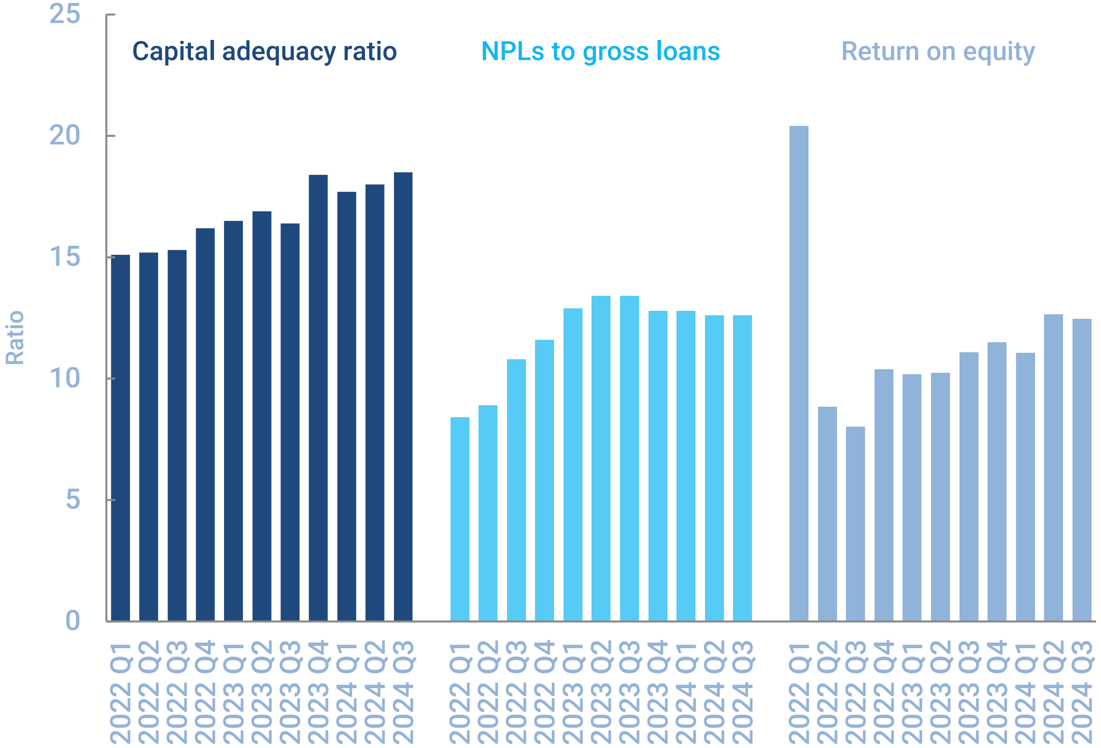
Declining interest rates boosted credit demand, while strong real lending rates and economic recovery have driven credit supply. This led to a pickup in private credit growth throughout 2024, reaching 10.7 percent (y-o-y) in December.

Lending to SOEs has decreased substantially driven by government efforts to restructure legacy SOE debts and upcoming regulatory requirements on large exposures. Furthermore, the recapitalization of state-owned banks was completed in December 2024.

However, overall exposure of the financial sector to the sovereign remains high (roughly 36 percent of commercial banks' assets in Q3 2024, compared to 36.8 percent in Q3 2023).

… and financial sector resilience improved

Figure 6: Profitability and capital adequacy of the banking sector continues to improve



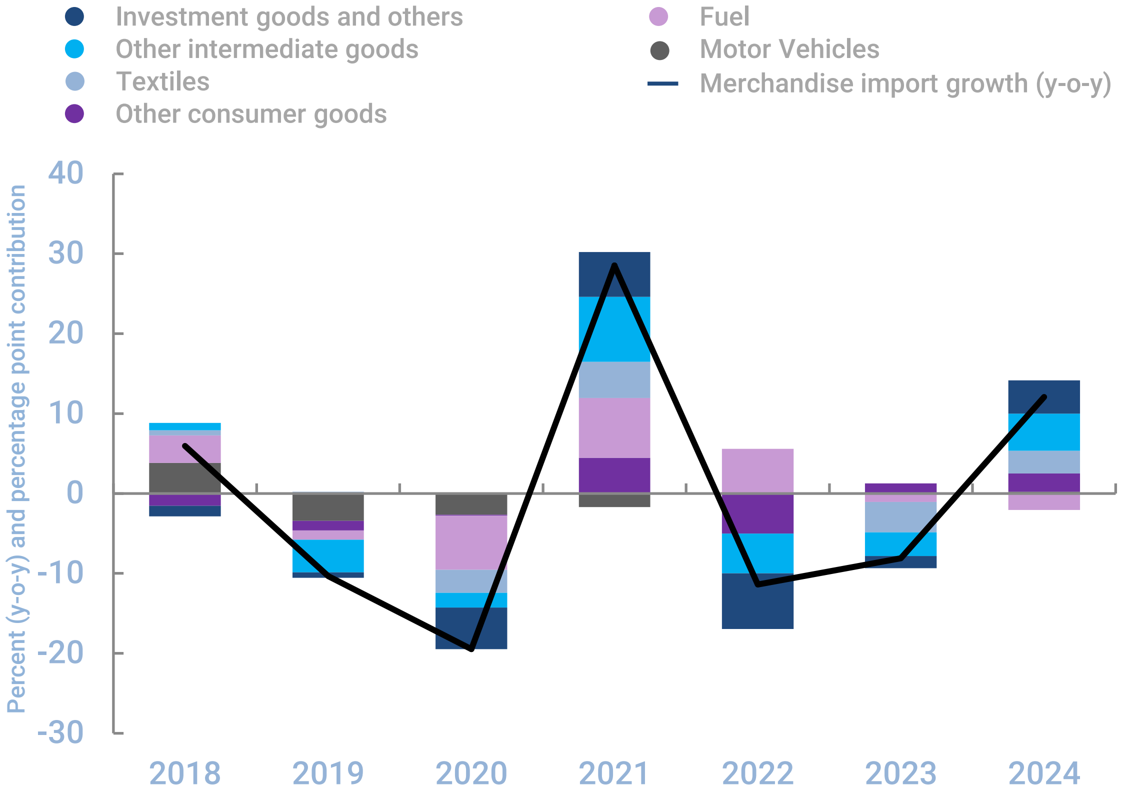
Source: Central Bank of Sri Lanka, World Bank calculations

This is underpinned by increases in capital adequacy and profitability in 2024. Higher profits and Tier 2 issuances boosted capital adequacy to 18.5 percent in Q3 2024 (from 16.4 percent in Q3 2023). Stronger net interest margins and lower credit costs increased profitability, with return on equity and return on assets reaching 12.5 and 1.2 percent, respectively (compared to 11.1 and 1 percent in Q3 2023).

NPLs have gradually declined to 12.6 percent of gross loans in Q3 2024 from 13.4 percent in Q3 2023. However, credit risks continue to be high in key sectors such as tourism and construction (despite their improved growth performance).

Although the merchandise trade deficit widened…

Figure 7: The import recovery was broad-based



Source: Central Bank of Sri Lanka, World Bank calculations

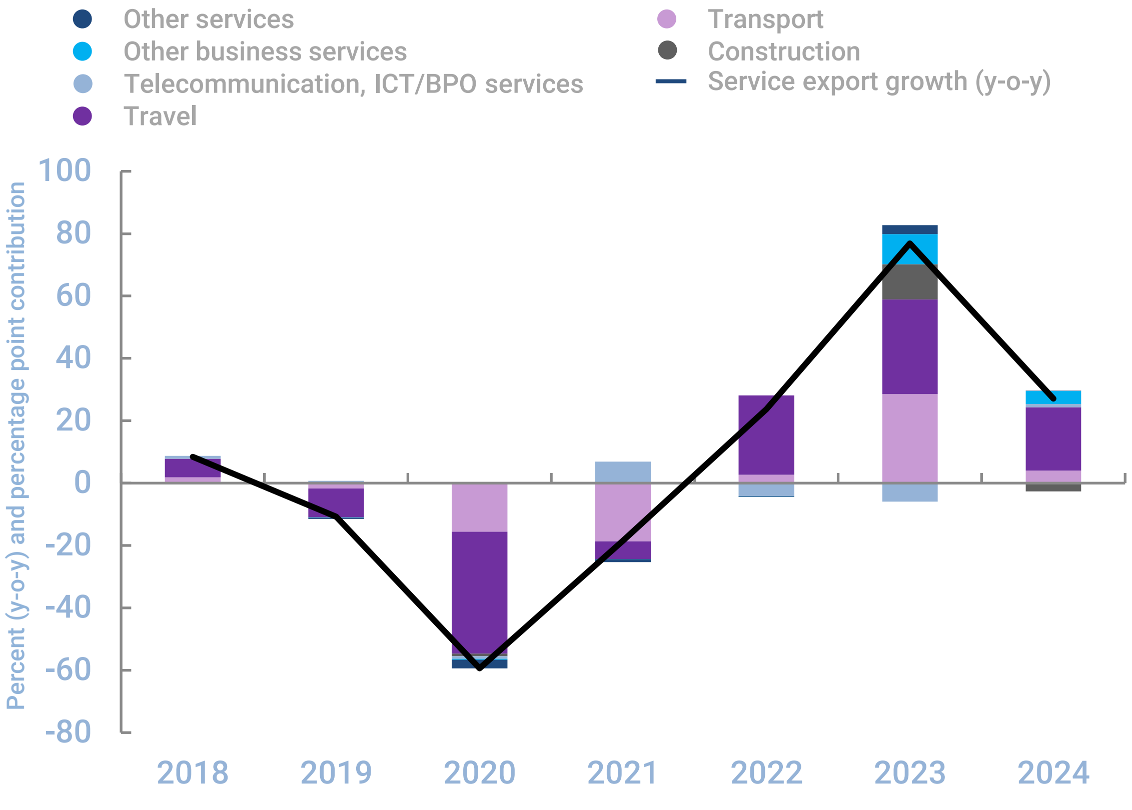
The merchandise trade deficit widened by 23.9 percent in 2024, as imports grew faster than exports.

Imports grew by 12.1 percent (y-o-y) to US$18.8 billion, as demand recovered, credit conditions eased, and FX liquidity improved further. Stronger economic activity boosted all main categories of imports – including intermediate (mainly textiles and chemical products) and investment goods (mainly machinery and equipment) – except the fuel bill, which fell due to lower imported quantities.

Exports grew 7.2 percent to reach US$12.8 billion. This was driven by industrial exports, as petroleum exports nearly doubled due to higher volumes of marine bunkering (driven by disruptions in the Red Sea), and as textile and garment exports recovered marginally.

… the current account balance remained positive…

Figure 8: Travel drove service export growth



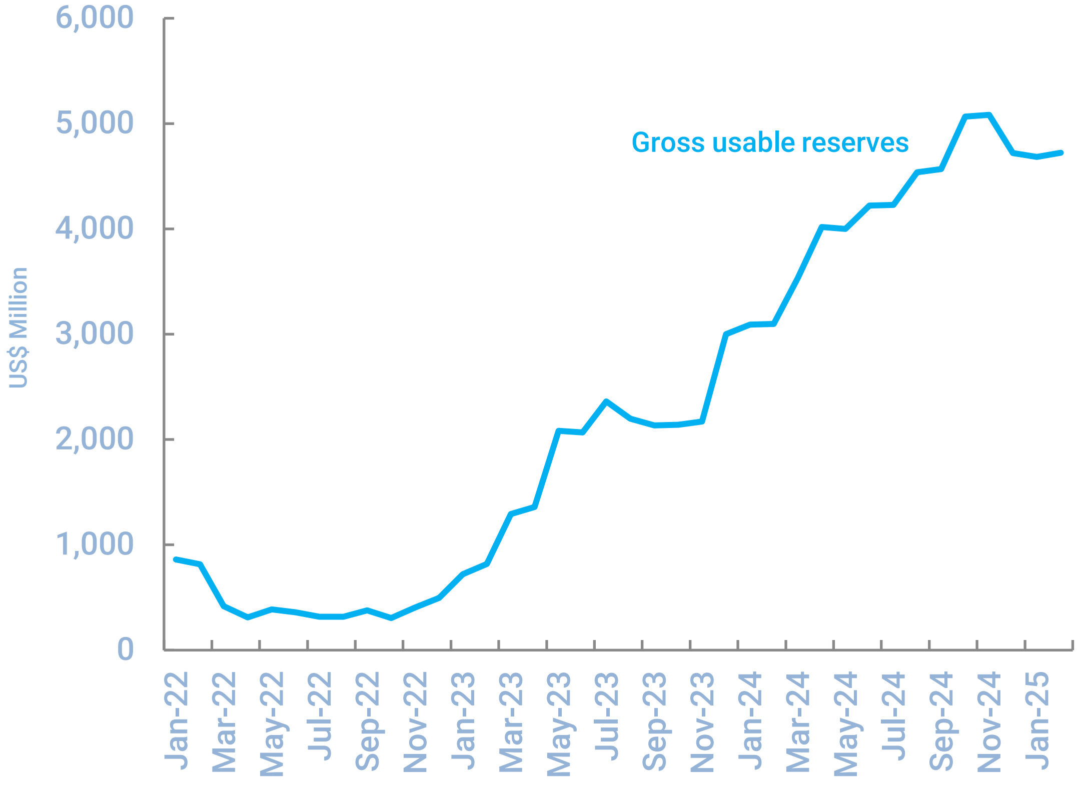
Source: Central Bank of Sri Lanka, World Bank calculations

The current account balance stayed positive at 1.2 percent of GDP, albeit deteriorating compared to 2023. This was supported by strengthened trade balance on services (US$3.4 billion) strengthened, driven by tourism-related service exports, such as travel (which grew 53.2 percent y-o-y to reach US$3.2 billion) and transport, as well as telecom and other business services.

Remittances also continued to pick up, increasing 10.1 percent (y-o-y) to US$6.6 billion.

… contributing to the accumulation of reserves

Figure 9: Usable reserves continue to be rebuilt



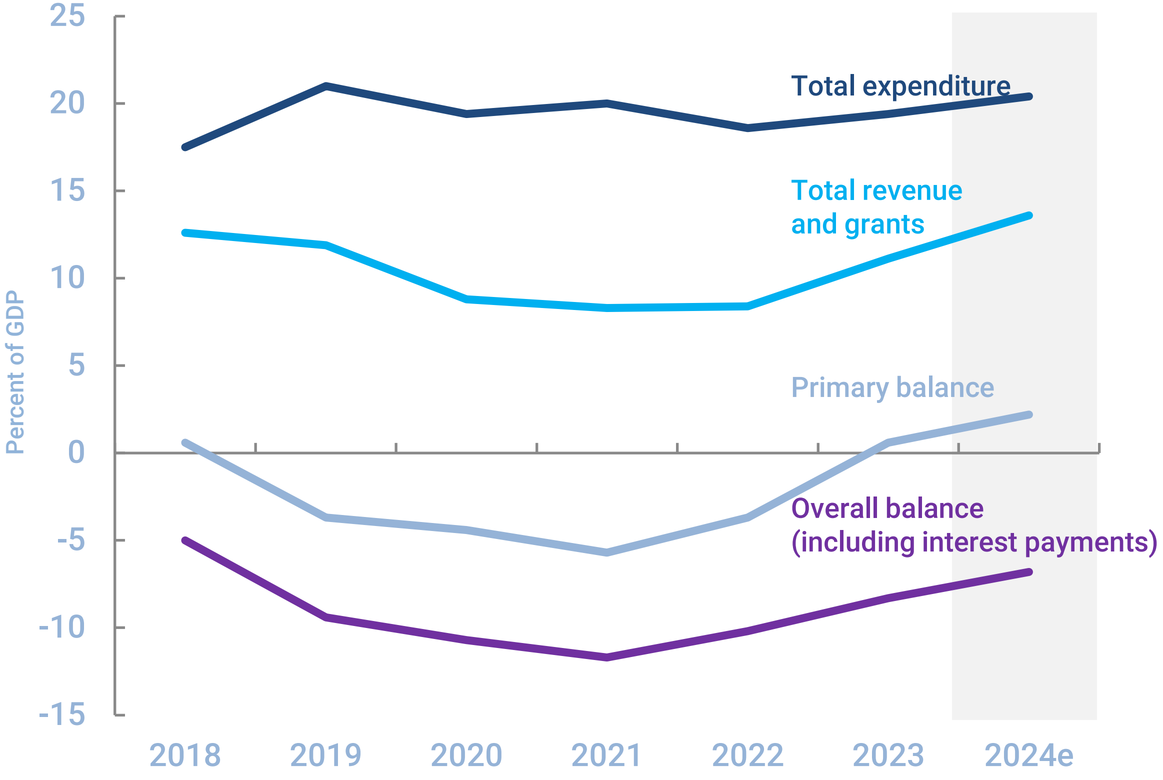
Source: Central Bank of Sri Lanka, World Bank calculations

Reserves picked up to US$4.7 billion (3 months of imports) by end-2024, compared to US$3 billion at end-2023, supported by the current account surplus, FX purchases by the central bank, suspended debt service payments, and inflows from development partners.

The currency appreciated in 2024 (9.7 percent, y-o-y), reflecting favorable external sector developments, and has remained stable in 2025, while net foreign assets in the banking sector have continued to strengthen.

Fiscal performance surpassed expectations…

Figure 10: Key fiscal balances continued to strengthen

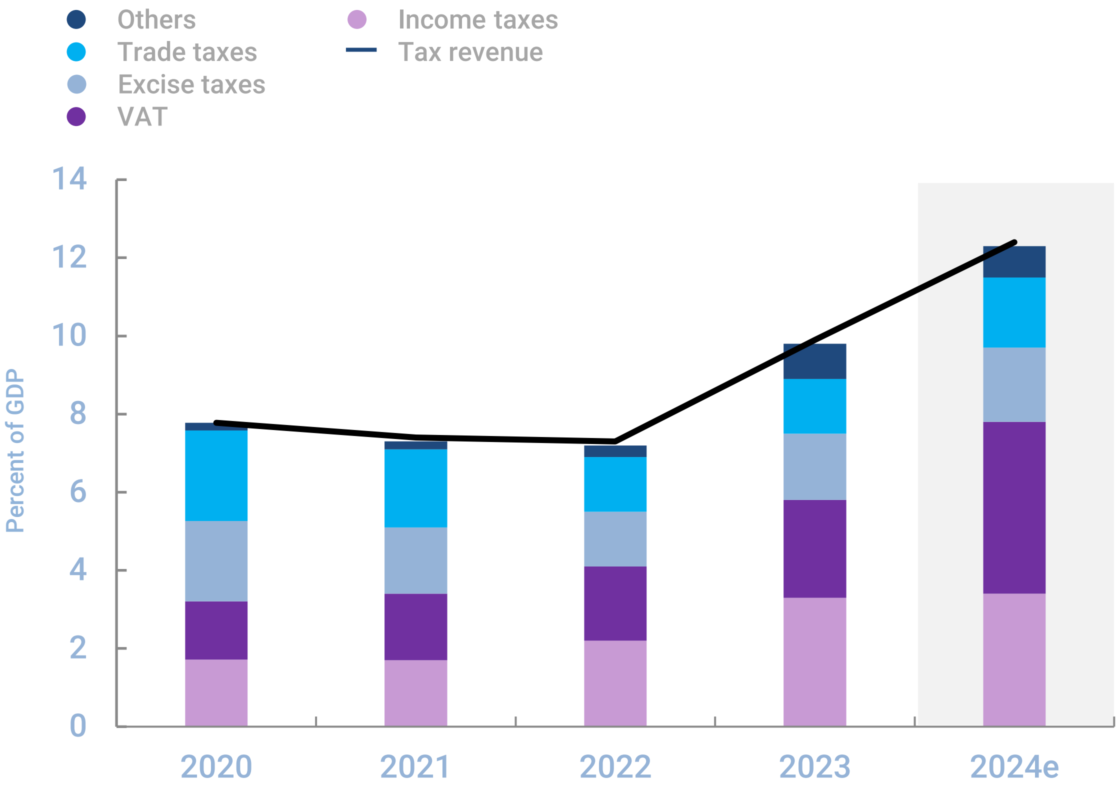


Source: Central Bank of Sri Lanka, Budget Speech 2025, World Bank calculations
Note: 2024 figures are estimates and referred to as 2024e.

The primary balance is estimated to have recorded a surplus of 2.2 percent of GDP, which surpassed expectations in the second review of the IMF's EFF (1 percent of GDP) and government's budget (0.8 percent of GDP).

…due to a remarkable revenue turnaround and prudent expenditure management…

Figure 11: The tax-to-GDP ratio increased sharply in 2024e



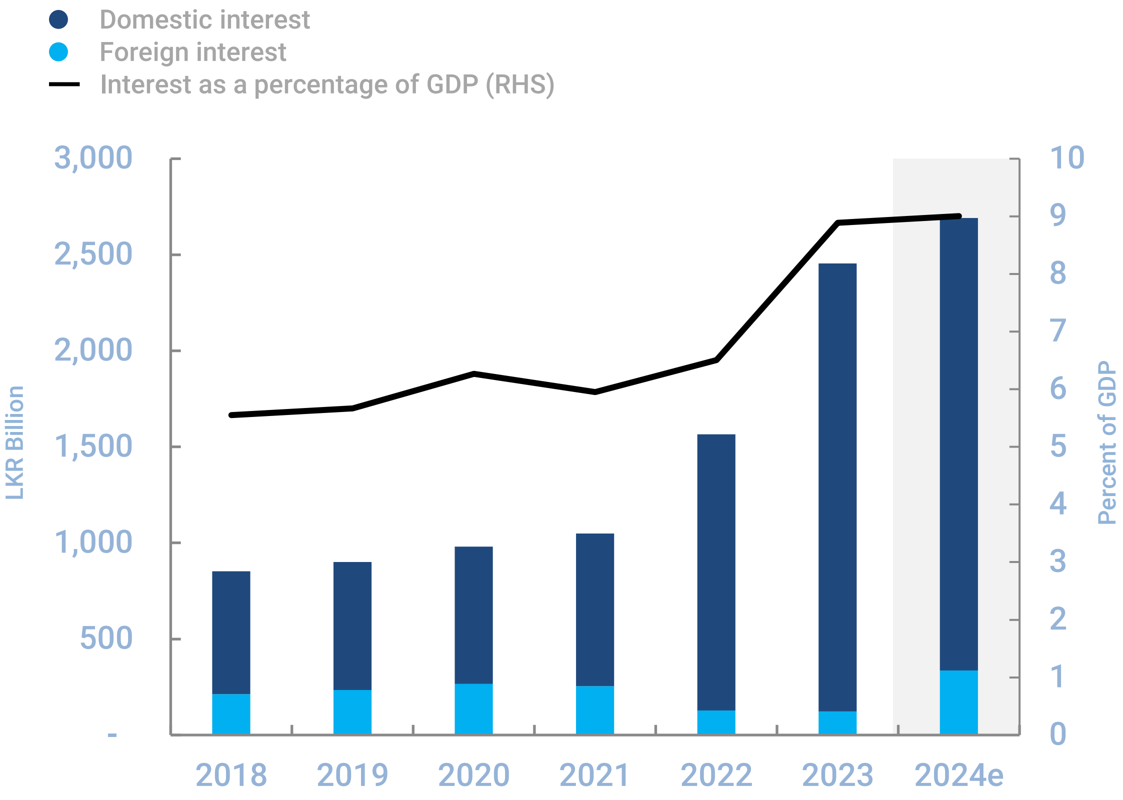
Source: Central Bank of Sri Lanka, Budget Speech 2025, World Bank calculations
Note: 2024 figures are estimates.

Tax revenues increased from 9.9 to 12.4 percent of GDP between 2023 and 2024e. VAT collections were the main driver of the increase, supported by rate, threshold and exemptions changes implemented in January 2024. Growth in import demand, excise duty revisions, and lower Social Security Contribution Levy thresholds further contributed.

Primary expenditure increased from 10.6 to 11.5 percent of GDP between 2023 and 2024e. Spending on salaries and pensions (due to arrears on gratuity being cleared) and welfare payments increased. While capital spending increased marginally, the increase in total spending was limited by under-execution of the capital budget.

…although the interest bill remained substantial

Figure 12: The interest bill continued to rise



Source: World Bank calculations
Note: 2024 figures are estimates and are referred to as 2024e.

The reduction in the fiscal deficit was limited by the high interest bill. Interest payments were the single largest expense, amounting to 9 percent of GDP in 2024e.

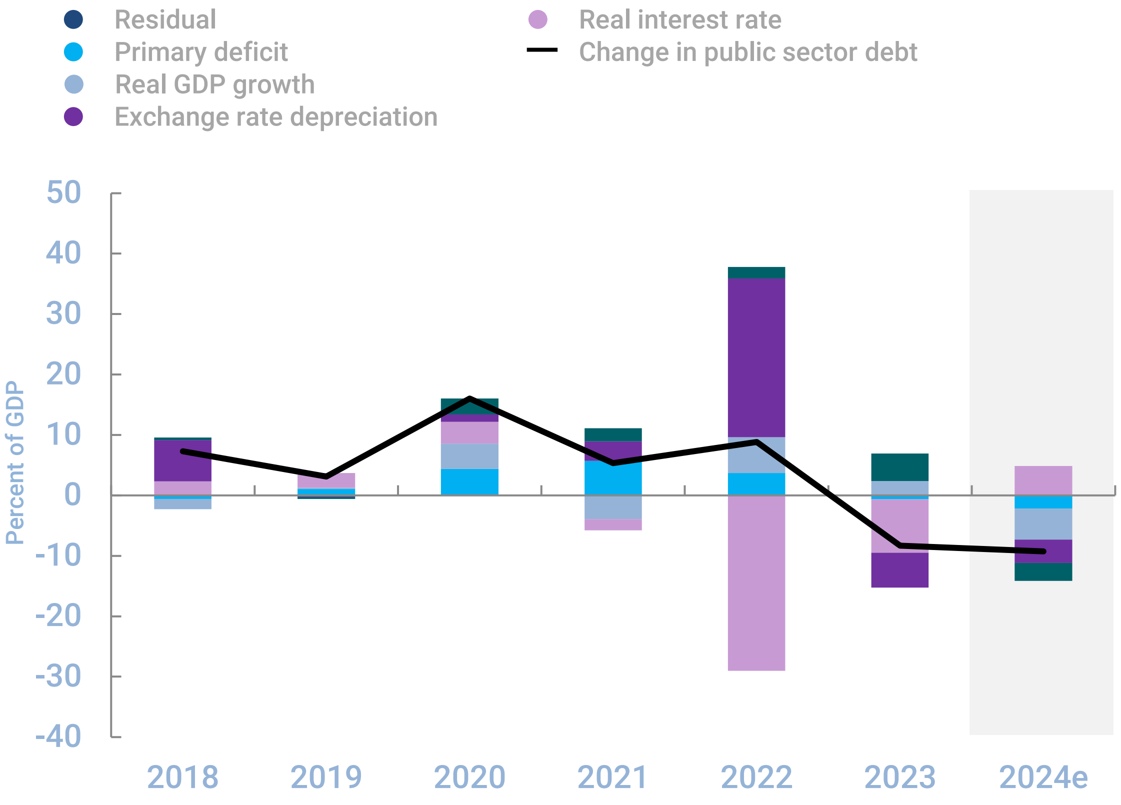
The interest bill was higher than expected due to the state-owned bank recapitalization, which was provided as an interest subsidy, rather than a capital expenditure as originally budgeted.[1]

As a result, the fiscal deficit is estimated to have fallen by only by 1.5 percentage points to 6.8 percent of GDP. With limited access to foreign financing, this was primarily funded by domestic sources.

[1] This cash injection was provided to People's Bank and Bank of Ceylon to compensate for their losses resulting from the restructuring of loans provided to CPC.

Debt indicators improved…

Figure 13: The debt-to-GDP ratio declined in 2024e

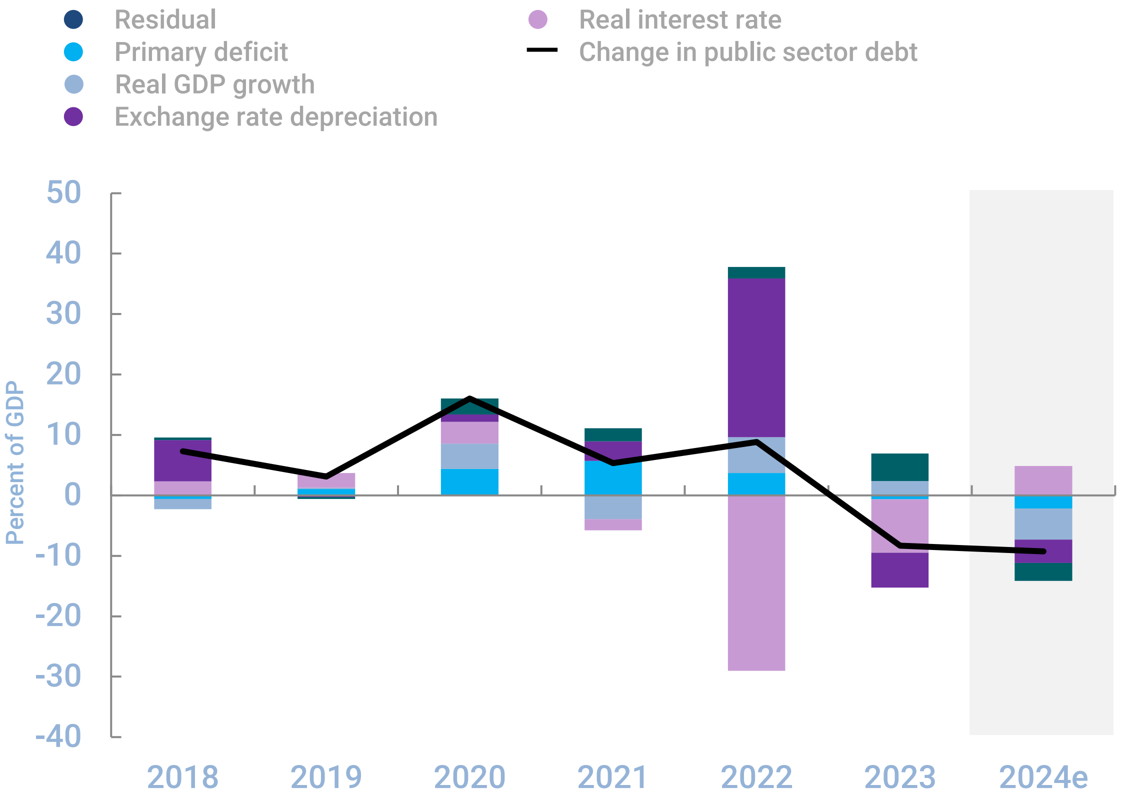


Source: Central Bank of Sri Lanka, Budget Speech 2025, World Bank calculations
Note: 2024 figures are estimates and are referred to as 2024e.

The stock of PPG debt is estimated to have fallen from 111.7 percent of GDP at end-2023 to 102.4 percent at end-2024. The main drivers were an improved primary balance, alongside growth and currency appreciation, which helped reduce the debt-to-GDP ratio. Gross financing needs are estimated to have fallen to 24.5 percent of GDP (from a peak of 30 percent in 2023), due to the primary balance surplus and lower amortization payments.

…and restructuring made progress

Figure 13: The debt-to-GDP ratio declined in 2024e



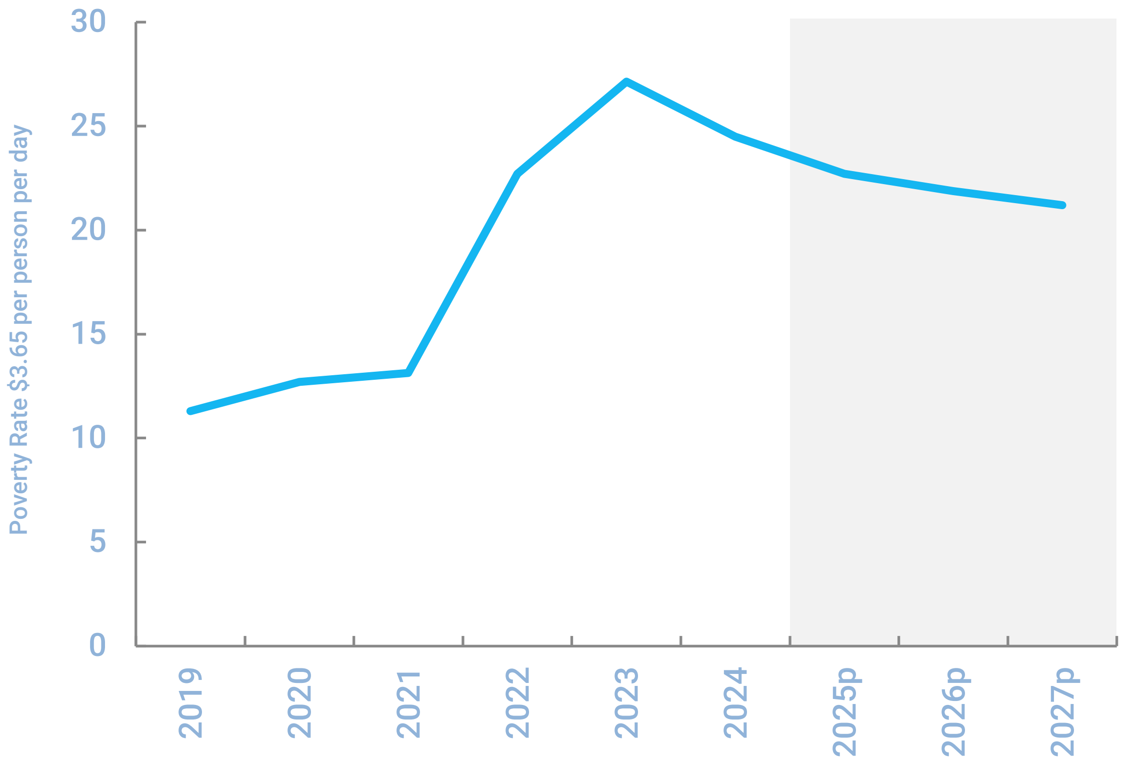
Source: Central Bank of Sri Lanka, Budget Speech 2025, World Bank calculations
Note: 2024 figures are estimates and are referred to as 2024e.

Debt restructuring has made significant progress:

- Bilateral agreements are being finalized to restructure US$10 billion of official and Exim Bank of China debt.
- The first of these was signed on March 7, 2025, with the Japan International Cooperation Agency.
- In December 2024, the debt exchange with bondholders was concluded, wherein about 98 percent of the US$12.5 billion ISBs were exchanged, except for US$268 million (with Hamilton Reserve Bank Ltd. being the significant holdout).

Poverty and vulnerability remain elevated…

Figure 14: Poverty is estimated to remain above 20 percent in the medium-term



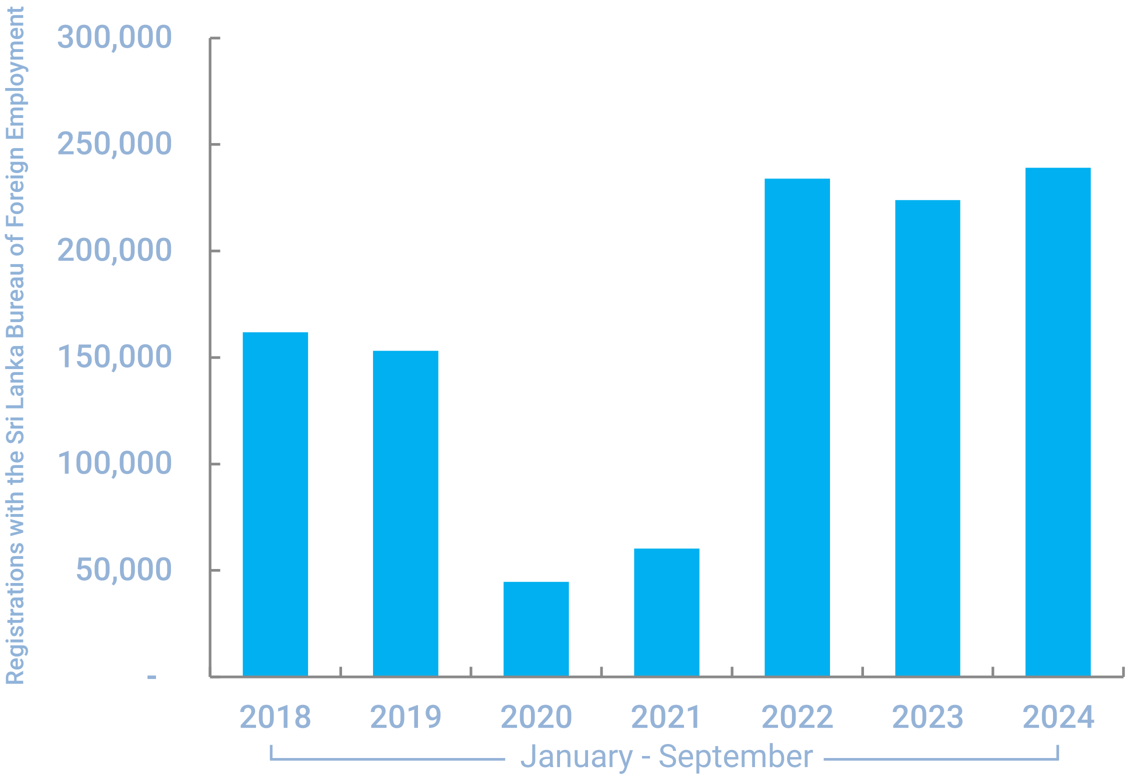
Source: World Bank calculations

The poverty rate was 24.5 percent (at US$3.65 per person per day, PPP) in 2024. Although poverty declined marginally during the year, it remains nearly double what it was in 2019 (11.3 percent). Household incomes are well below pre-crisis levels, resulting in elevated poverty and food insecurity. Vulnerability has also increased, with a third of Sri Lankans living in poverty or one shock away from falling back into it.

Malnutrition increased in 2024 posing concerns over potential long-term impacts on human capital formation and intergenerational poverty transmission. Food prices more than doubled between 2021 and 2024. Households changed their diets, reducing the consumption of nutritious food, contributing to an increase in malnutrition from 12.2 to 17 percent (underweight among children under 5) and from 7.4 to 10.5 percent (stunting among children under 5) between 2021 and 2024.

…and the labor market has been adversely affected

Figure 15: Emigration remains higher than pre-crisis levels



Source: Central Bank of Sri Lanka, Sri Lanka Bureau of Foreign Employment

Employment and real wages remain below pre-crisis levels, encouraging emigration:

- Labor force participation continued to decline from 48.6 percent in Q2 2023 to 47.8 percent in Q2 2024 (compared to 52.3 percent in 2019).
- Real wages are between 14 (private sector) and 24 (public sector) percent below their pre-crisis levels.
- Limited economic opportunities, partly due to the post-crisis public sector hiring freeze, resulted in Sri Lankans leaving the country. Applications with the Sri Lanka Bureau of Foreign Employment for the first nine months increased y-o-y in 2024.
- Increasing emigration has potential adverse consequences for the quality of public service delivery.

Outlook

Recent history and projections	2022	2023	2024e	2025f	2026f	2027f
Real GDP growth, at constant market prices[1]	-7.3	-2.3	5.0	3.5	3.1	3.1
Private consumption	-0.5	-1.6	3.2	3.3	3.4	3.4
Government consumption	1.4	-5.4	-0.8	1.6	1.1	1.0
Gross fixed capital investment	-24.5	-8.4	18.8	7.0	4.0	4.7
Exports, goods and services	10.2	12.0	5.6	-6.3	2.1	2.4
Imports, goods and services	-19.9	6.5	11.1	-4.1	3.2	4.3
Real GDP growth, at constant factor prices	-7.0	-2.6	4.6	3.5	3.1	3.1
Agriculture	-4.1	1.6	1.2	1.5	1.8	1.9
Industry	-16.0	-9.2	11.0	5.9	4.1	3.3
Services	-2.6	-0.2	2.4	2.6	2.8	3.1
Employment rate (% of working-age population, 15 years+)	47.5	46.3	45.2	45.2	45.2	45.2
Inflation (consumer price index)	46.4	17.4	1.2	2.5	3.2	4.5
Net foreign direct investment flow (% of GDP)	1.2	0.8	0.9	0.5	0.6	0.7
International poverty rate ($2.15 in 2017 PPP)[2]	4.1	5.4	4.6	3.9	3.7	3.5
Lower middle-income poverty rate ($3.65 in 2017 PPP)[2]	22.7	27.1	24.5	22.7	21.9	21.2
Upper middle-income poverty rate ($6.85 in 2017 PPP)[2]	64.4	68.0	65.9	65.0	64.1	63.2
GHE emissions growth (mtCO2e)	-6.7	-3.6	5.2	5.4	5.1	4.8

Source: World Bank, Poverty and Economic Policy Global Departments, Emissions data sourced from CAIT and OECD.
Notes: e= estimate, f=forecast. Data in annual percent changes unless indicated otherwise.
[1]Components of GDP by expenditure for 2022-2024 are estimates, as the data published on March 18th 2025, by authorities only included GDP by production
[2]Calculations based on SAR-POV harmonization, using 2019-HIES. Actual Data: 2019. Nowcast: 2020-2024. Forecasts are from 2025 to 2027

The growth outlook is modest

- Despite the recovery in 2024**, medium-term growth is expected to be modest at around 3.1 percent,** reflecting the scarring effects of the crisis, structural impediments to growth, and significant global economic uncertainties.

- The **current account is expected to revert to a modest deficit in 2025**, as trade-related uncertainties reduce exports (relatively more than imports), outweighing any positive impacts from reduced global oil prices.

- Inflation is projected to turn positive by mid-2025, due to revived domestic demand, **but remain below the central bank's medium-term target of 5 percent.**

- Despite continued fiscal consolidation, **fiscal financing pressures will persist due to large T-bill refinancing needs.**

- The resumption of *parate* rights, in conjunction with planned insolvency reforms and efforts to implement a workout framework, are expected to give **banks a wider range of tools to address NPLs and maximize debt recovery in a sustainable manner**, contributing to financial sector resilience.

A more pro-poor recovery is needed to improve welfare

- **Following continued macroeconomic stabilization, poverty is expected to decline to 22.7 percent in 2025** and remain around 20 percent in the medium term. Under current projections, the economic crisis is expected to have reversed a decade of poverty reduction in Sri Lanka.

- **The increase in public sector wages will support households** and help revive consumption. However, potential trade-related job losses could severely impact households.

- **A more pro-poor economic recovery,** in which economic growth translates into higher rates of growth in household income among less well-off households, could help bring poverty rates back to their pre-crisis levels before 2030, through:
  - expanding employment opportunities in industry and services for poorer and vulnerable segments of the population
  - increasing labor incomes
  - restoring growth in micro and small enterprises, and agricultural incomes.

[1] *Parate* execution grants a bank the power to sell a mortgaged property that had been secured to the bank as collateral, without going through formal court proceedings.

Downside risks are significant amid global headwinds

- **Global growth is expected to slow in 2025 and 2026, driven by unprecedented trade policy uncertainty and high global interest rates.** These factors could limit capital inflows, discourage investment, and dampen export demand.
- Given limited (and narrowing) fiscal and external buffers, downside **risks from inequitable fiscal consolidation, limited investment and external financing support, as well as global trade and monetary policy uncertainty remain high.**
- **Policy uncertainty (including the direction and pace of reforms) and any further scarring effects (limited job opportunities and increased outmigration)** from the crisis could slow the recovery.
- **Beyond an economic slowdown, the ongoing reliance on regressive indirect taxes could worsen the poverty outlook.** The increased prevalence of stunting and malnutrition raises concerns about long-term human capital development and intergenerational poverty transmission.
- **Conversely, there are upside risks from the successful implementation of structural reforms** – particularly in trade and investment – which would boost growth and attract non-debt-creating flows

Policy watch

- Since being elected to power in October 2024, the new government has undertaken several reforms, including:
  - Establishing the new Public Debt Management Office
  - Recapitalizing State-Owned Banks
  - Commencing the recertification of *Aswesuma* beneficiaries
  - Publication of a Governance Action Plan for 2025
- Furthermore, the third review of the IMF EFF was completed in February 2025.
- This has helped continue the reform momentum.
- Implementation of reforms, including published plans, remains key

Policy watch

- **The 2025 Budget focuses on promoting export-led growth,** by creating an enabling environment through digitalization, strengthening governance and legal frameworks, and boosting competitiveness.

- **Prospects for growth and poverty reduction depend on continued macro stability, and the sustained and successful implementation of structural reforms.** It is critical to expedite reforms that: (i) strengthen macro-fiscal-financial stability; (ii) boost competitiveness; and (iii) reduce the economy's inward orientation. In this regard, the 2025 Budget proposes the following reforms:

I. **Strengthening macro-fiscal-financial stability through the enactment of a:**
   - Public Procurement Act – *to improve competition and quality of goods and services procured*
   - Law to address the Exchange of Information between State Institutions – *to ensure better citizen-state engagement*
   - Rescue, Rehabilitation and Insolvency Act – *to reduce cost of credit and increase access to finance*
   - *Revised* Micro Finance and Credit Regulatory Authority Act – *to enhance supervision and better protect customers*

Additional reforms required: Progressive and equitable tax policy, along with a modernized digital tax administration *system, are essential for achieving revenue targets in a sustainable manner and ensuring continued macro-fiscal stability.*

Policy watch

II. **Strengthening macro-fiscal-financial Boosting competitiveness through the enactment of a:**

- Revised Economic Transformation Act (ETA), or/and Investment Protection Act (IPA) – *to ensure a modern overarching legal, institutional and regulatory framework for investors*
- Public Private Partnership (PPP) Investment Management Act – *to provide a clear and stable legal framework for PPPs*
- State Business Enterprises Management Act – *to improve governance, transparency and accountability of SOEs*

Additional reforms required: *Labor market (e.g., ensuring a more inclusive and flexible labor market) and land reforms (e.g., facilitating better state land asset management) are also critical for boosting competitiveness and attracting investment.*

III. **Reducing the inward-orientation of the economy by trade liberalization and market access expansion through:**

- Preparation of a National Export Development Plan (2025–2029) – *to boost exports of goods and services*
- Implementation of the National Tariff Policy – *to create a simple, transparent and predictable tariff framework*
- Enactment of a new Customs Law – *to modernize and streamline Customs (e.g., close long rooms, improve cargo flow) and enhance revenue collection*
- Establishment of a Trade National Single Window – *to simplify, digitize and automate cross-border trade procedures*

List of abbreviations

CBSL	Central Bank of Sri Lanka
CPC	Ceylon Petroleum Corporation
EFF	Extended Fund Facility
F&B	Food and Beverage
FX	Foreign Exchange
GDP	Gross Domestic Product
IMF	International Monetary Fund
ISBs	International Sovereign Bonds
NPLs	Non-Performing Loans
PMI	Purchasing Managers' Index
PPG	Public and Publicly Guaranteed
PPP	Purchasing Power Parity
SOEs	State-Owned Enterprises
T-bills	Treasury Bills
VAT	Value-Added Tax
y-o-y	Year-on-Year